

Financial Markets Research

Benchmark Reforms

The outlook for the eurozone and the ESTER benchmark

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Key facts Eonia reform

ESTER methodology and representativeness

Current developments and next steps

Enough time to make the necessary changes?

What will be the impact of ending Eonia?

Key facts Eonia reform

Key facts Eonia reform: A closer look at ESTER, away with Eonia



What are the reasons for the transition?

- Eonia not BMR compliant:
 - Decrease notional value underlying transactions
 - Increase in volume concentration
 - Decrease number of panel banks with non-zero submission volumes
 - Geographical concentration
 - Banks more active on (wholesale) borrowing side than on lending side

We need a robust, reliable and resilient benchmark...

ESTER methodology and representativeness



How will the rate be structured and managed?

ECB committed to provide a euro unsecured overnight rate reflecting wholesale borrowing costs of euro area banks

- Borrowing transactions euro area banks using unsecured fixed rate deposit transactions

Calculation methodology:

- Transactions ordered from low to high;
- Transactions are aggregated at each rate;
- Top and bottom 25% in volume terms are removed;
- Volume-weighted mean of remaining 50%

ECB as the administrator has overall responsibility for providing the rate

ESTER methodology and representativeness

Will it be representative for banks' funding?

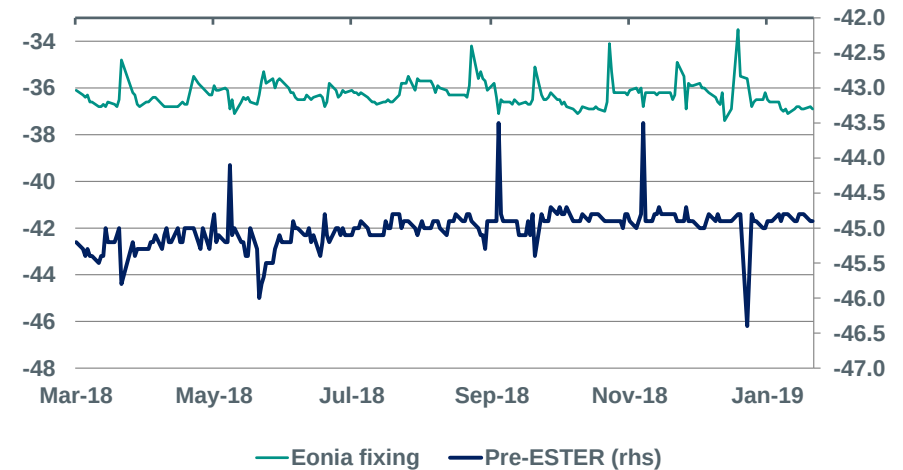
Wholesale on average 88% of total overnight borrowing

EUR Mn,



Pre-Ester is on average 9bps lower than Eonia fixings

In bp,



Current developments and next steps

Current developments and next steps



Next step in developing an Ester-based term structure

- Fallback for Euribor
- Final Working Group recommendation: OIS quotes-based methodology
- Sufficient number of market participants needed for quotes at all tenors, under all market conditions
- A liquid ESTER OIS derivatives market needed
- Transparent electronic trading on regulated platforms, minimisation of manipulation risk, admin should provide data access and methodological details

Missing the target...?

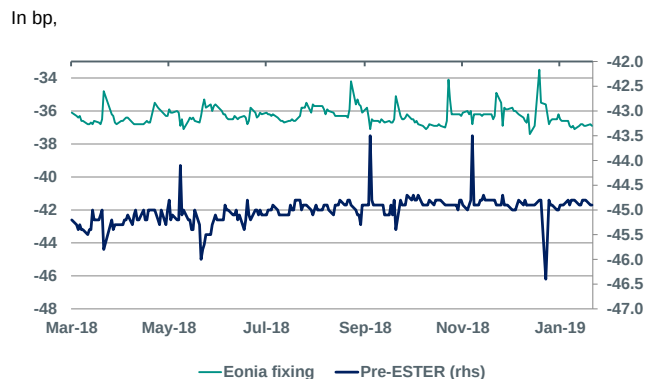
- Still potential risk for manipulation
- Liquid ESTER-based derivatives market to develop quickly?

Current developments and next steps

Next step in the transition path: 'Clean-discounting' and 'Eonia = ESTER + spread'

- Parallel publication of Eonia and ESTER during two-year transition period
- $\text{Eonia} = \text{ESTER} + \text{spread}$
- Progressive replacement of Eonia in contracts / products
- 'Clean discounting': single curve for each counterparty as basis for collateral interest
- Publication time Eonia to follow ESTER publication
- Unknown: how spread will be determined, who's responsible

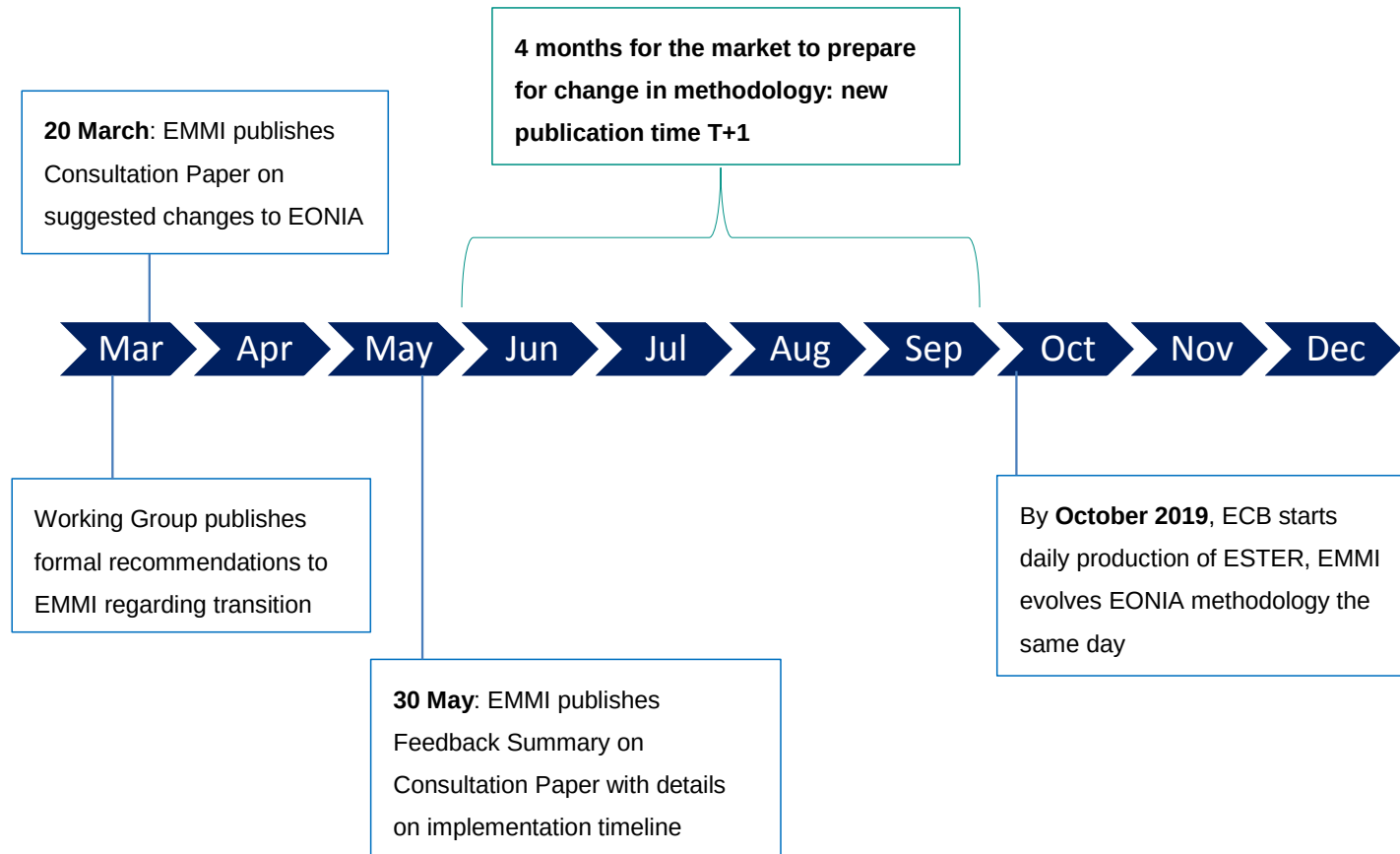
Pre-Ester is on average 9bps lower than Eonia fixings



Enough time to make the necessary changes?

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2019 timeline for Eonia transition, extension of the implementation period is necessary



Enough time to make the necessary changes?



- **Working Group:** BMR timelines and end of transition period a challenge
- Doubts on legal and operational transition within set timelines
- **Working Group:** creation of ESTER-based term structure can't be completed by end of this year
- Liquid ESTER-based derivatives market within 3 months?!
- Two year extension not yet formalized into law, but done deal
- ISDA: 'technical trilogues' (EU Council, EU Commission, EU Parliament) need to be finalized before agreement can be endorsed by Member States and adopted by EU Parliament

Enough time to make the necessary changes?



Q: Is a two-year extension of the transition period enough to develop a liquid ESTER-based derivatives market?

Enough time to make the necessary changes?



Q: Will ESTER eventually replace Euribor as well?

What will be the impact of ending Eonia?

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Market impact difficult to assess, liquid ESTER-based derivatives market is key

- Liquid ESTER-based derivatives market and viable term structure to pull away usage of Euribor-linked contracts?
- Hybrid Euribor methodology has its weaknesses, but remains key for financial retail products in EU...
- ...and the market is accustomed to Euribor
- Alternatively, weak and illiquid ESTER-based derivatives market could increase risk:
 - Unreliable fallback rate;
 - Pricing difficulties;
 - Volatile, illiquid derivatives markets;
 - Volatile balance sheet items

Smooth transition hinges on the ability of market participants to quickly adapt

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